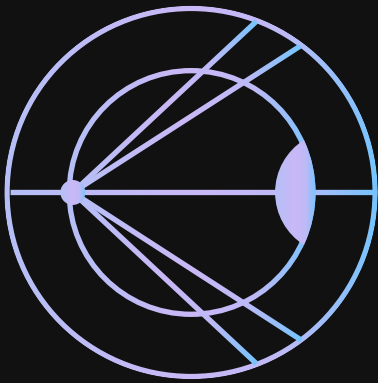




REPORT

Private Security Audit

for **Predictstreet Smart Contracts**

PREPARED BY

HackenProof

AUDIT DURATION

01.05-14.05.2026

REPORT CREATED

21.05.2026

AUDIT TYPE

Solidity

TABLE OF CONTENTS

Introduction	3
Audit summary	4
Findings list	4-6
About project	7

INTRODUCTION

HackenProof Audit is your solution to maximize cybersecurity through the involvement of the industry's most skilled and experienced community security researchers.

Name	ADI Foundation
Website	https://www.adi.foundation/
Type	Private Security Audit
Date	01.05-14.05.2026
Changelog	14.05.2026 - Preliminary Report 21.05.2026 - Final Report
Scope	https://github.com/hackenproof-public/predictstre...
Approved by	HackenProof team
Audited by	 @0xTonraq  @nem0thefinder  @laarobi  @Cangfeng  @polaristow

AUDIT SUMMARY

23

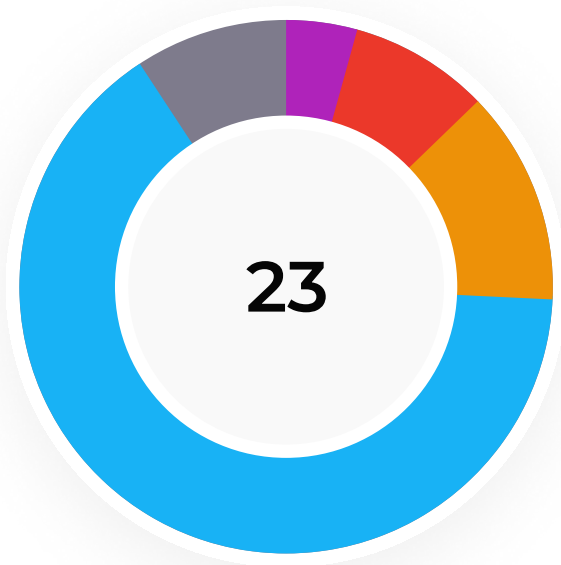
Total Findings

21

Resolved

2

Informative



• Critical	1
• High	2
• Medium	3
• Low	15
• None	2

FINDINGS LIST

• CRITICAL



ADIAUDIT-22

Converted NO baskets can over-redeem after a void and drain shared WCOL backing

Resolved

• HIGH



ADIAUDIT-15

Challenged Markets Depend on the Recorded Challenger Remaining USDC-Transferable, Allowing a Malicious Challenger to Turn a Subsequent USDC Blacklist into DoS of the Override / Void / Clear Paths

Resolved



ADIAUDIT-13

`NegRiskAdapter` Exposes a Permissionless ERC1155 Proxy That Reopens External Position Injection Into Vaults, Enabling Deposit-Cap Bypass via `redeemPositionsNegRisk`

Resolved

• MEDIUM

	ADIAUDIT-25 <u>Anyone can pre-prepare a neg-risk condition and block <code>`prepareMarket`</code></u>	Resolved
	ADIAUDIT-14 <u><code>`Oracle`</code> Keys Resolution State by <code>`questionId`</code> Instead of <code>`conditionId`</code>, Permanently Blocking Settlement of Distinct Conditions Sharing the Same <code>`questionId`</code></u>	Resolved
	ADIAUDIT-12 <u><code>`DepositLimitRegistry`</code> Misrepresents Anchored Deposit Counters as Rolling Windows, Enabling Cap Bypass Within Continuous 24h / 7d / 30d Periods</u>	Resolved

• LOW

	ADIAUDIT-33 <u>Bulk neg-risk market loops can exceed practical transaction gas</u>	Resolved
	ADIAUDIT-31 <u><code>`registerToken`</code> relies on ambiguous side-effect evaluation order</u>	Resolved
	ADIAUDIT-30 <u>One-shot registry factory pointer blocks vault factory migration</u>	Resolved
	ADIAUDIT-29 <u>Vault emergency window lets owners grief signed order settlement</u>	Resolved
	ADIAUDIT-27 <u>All-NO basket conversion is incorrectly rejected</u>	Resolved
	ADIAUDIT-24 <u>Adapter split/merge overloads can mint and redeem positions on voided neg-risk markets</u>	Resolved
	ADIAUDIT-21 <u>NegRiskAdapter Public Entry Points Are Not Covered by Market Pause</u>	Resolved
	ADIAUDIT-20 <u><code>`NegRiskAdapter`</code> Lacks Reentrancy Protection on ERC1155-Callback-Reachable Entry Points</u>	Resolved
	ADIAUDIT-17 <u><code>`redeemPositions(..., toVault = false)`</code> Creates a Single-Party USDC Off-Ramp Outside the Dual-Signed <code>`withdrawERC20()`</code> Path</u>	Resolved
	ADIAUDIT-11 <u><code>`NegRiskAdapter.convertPositions`</code> Does Not Check <code>`m.determined`</code></u>	Resolved
	ADIAUDIT-10 <u><code>`Oracle.markDelayed`</code> Flag Does Not Affect Challenge / Finalize / Resolve Flows</u>	Resolved
	ADIAUDIT-9 <u>Reward Amount Is Not Snapshotted During <code>`_propose()`</code>, Allowing Reward Changes During Active Challenges</u>	Resolved

 ADIAUDIT-5 <u>`VaultFactory._rescueAuthorized` Uses Misleading `NotVault` Error</u>	Resolved
 ADIAUDIT-3 <u>NegRiskAdapter Allows Unrestricted ERC20 and ERC1155 Token Rescue via Default Rescuable Permissions</u>	Resolved
 ADIAUDIT-1 <u>Exposed setApprovalForAll in NegRiskAdapter</u>	Resolved

• NONE

 ADIAUDIT-32 <u>Registry factory wiring and vault ERC20 exchange ledger updates do not emit events</u>	Informative
 ADIAUDIT-18 <u>`NegRiskAdapter.redeemPositions()` Emits `PositionRedeemed` with `payout = 0` Even When the Caller Holds No Redeemable Balance</u>	Informative

ABOUT PROJECT

ADI Foundation is an organization providing blockchain infrastructure to help emerging markets accelerate their digital economies.

DISCLAIMER

HackenProof Disclaimer

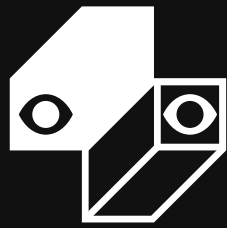
The application provided for assessment has been analyzed in accordance with generally accepted industry practices applicable at the time this report was prepared. The assessment focused on identifying cybersecurity vulnerabilities and security issues in the application's source code, deployment, configuration, and functionality, based solely on the materials, access, and scope made available for the engagement.

This report does not provide any representation or warranty that all vulnerabilities, weaknesses, or misconfigurations have been identified, nor does it guarantee the absolute security, reliability, or bug-free status of the application. The conclusions herein apply only to the specific version and scope reviewed and may no longer remain valid after any modification, update, or environmental change. This report should not be regarded as a definitive or exhaustive statement of the application's security posture.

Technical Disclaimer

Applications, whether decentralized applications (DApps) or other software systems, are deployed and operated within technical environments that may include blockchains, cloud services, operating systems, programming languages, frameworks, libraries, APIs, third-party services, and infrastructure components. Any of these elements may contain inherent weaknesses, undisclosed vulnerabilities, or configuration issues that can result in security incidents, operational failures, or unauthorized access.

The assessment reflects the condition of the application only at the time of testing and within the agreed scope, and the absence of findings in this report must not be interpreted as evidence that no vulnerabilities exist. Continuous security practices, including secure development, independent reviews, monitoring, patch management, and periodic reassessments, remain necessary to maintain an appropriate level of security.



HackenProof

Expert crowdsourced security provider

PRIVATE SECURITY AUDIT

Contact us:



[LinkedIn](#)



[X](#)



[Website](#)



[Mail](#)